

April 15, 2026 02:54 PM GMT

Yageo Corp. | Asia Pacific

MLCC Price Hike Confirmed

WHAT'S CHANGED

Yageo Corp. (2327.TW)	From	To
Price Target	NT\$330.00	NT\$360.00

Reaction to earnings

Unchanged Impact to our thesis	↑ Modest upside Financial results versus consensus	↑ Modest revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Confirmation of the MLCC price hike was a positive surprise to us. Stay OW.

Key Takeaways

- The pricing increase started to have a positive impact on GM in 1Q, which makes us think that the more pronounced impact is yet to come.
- 2Q guidance: revenue up moderately q/q, GM/OpM up slightly q/q.
- Yageo has adjusted pricing for select MLCC products, mainly for those used in consumer and automotive end segments.
- Visibility for non-AI is low into 2H, but Yageo remains cautiously optimistic.

2Q guidance slightly better than our preview: 2Q rev. guidance was "up moderately", which is slightly higher than our preview of "up slightly", while GM/OpM's guidance of "up slightly" is in-line. Management said the order backlog is at a record high now, which is why UTR is increasing for standard products to 75% (from 70-72% in 1Q) and specialty products to 85% (from 80-82% in 1Q).

MLCC price hike confirmed: This has been the most asked question from investors over the past six months, and management finally confirmed the hike today, for select SKUs, to reflect the "right" cost structure.

Focus on profit protection: Yageo said they will stay vigilant and closely monitor any potential changes on cost and react, if necessary. We believe this means management is focused on protecting margins and will adjust pricing accordingly.

Strong Tantalum revenue growth (+19% q/q) was mainly driven by volume.

Tantalum is now reaching close to a NT\$10B/qtr run rate, and is extremely margin accretive. If our forecast is correct, Tantalum's GM should be ~10ppt higher than the current corporate average. In 4Q25, AI was ~30% of tantalum and it grew further in 1Q but still within the 30-40% range. However, management is optimistic that Tantalum will continue to grow in the coming quarters.

Stay OW, raise PT to NT\$360, implying 19x/17x CY26/27 P/E, above its 5Y range of 8x-18x, but justified by its ongoing transformation initiatives. In addition, Yageo's stock looks undervalued compared to its global peers.

MORGAN STANLEY TAIWAN LIMITED+

Howard Kao

Equity Analyst

Howard.Kao@morganstanley.com

+886 2 2730-2989

Sharon Shih

Equity Analyst

Sharon.Shih@morganstanley.com

+886 2 2730-2865

Irene Yen

Research Associate

Irene.Yen@morganstanley.com

+886 2 2730-2869

Yageo Corp. (2327.TW, 2327 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$360.00
Up/downside to price target (%)	12
Shr price, close (Apr 15, 2026)	NT\$322.00
52-Week Range	NT\$332.00-108.00
Sh out, dil, curr (mn)	1,997
Mkt cap, curr (mn)	NT\$642,990
EV, curr (mn)	NT\$659,729
Avg daily trading value (mn)	NT\$8,719

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	11.51	16.64	19.13	20.87
Prior EPS (NT\$)**	-	16.21	18.13	19.16
EPS (NT\$)§	11.61	16.20	19.41	21.89
Revenue, net (NT\$ mn)	132,930	158,893	170,289	177,514
EBITDA (NT\$ mn)	39,635	51,277	57,175	61,111
ModelWare net inc (NT \$ mn)	23,634	34,161	39,282	42,850
P/E	20.1	19.4	16.8	15.4
P/BV	2.7	3.1	2.9	2.7
RNOA (%)	12.0	16.9	20.0	22.1
ROE (%)	14.5	19.6	18.7	18.7
EV/EBITDA	12.4	12.3	10.7	9.7
Div yld (%)	2.2	1.9	3.1	3.6
FCF yld ratio (%)**	6.6	6.0	6.4	6.6
Leverage (EOP) (%)	9.6	(12.0)	(20.3)	(26.6)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Key Meeting Takeaways

2Q guidance: Management guided for 2Q revenue to increase 'moderately' q/q, which we estimate is ~5% growth. 2Q GM and OpM are guided to expand slightly q/q, in-line with our expectations.

AI revenue mix:

- AI mix was ~13% in 4Q, and is now approaching 14-15%. Management expects its overall AI mix to reach 15%+ by EoY 2026.
- Within Tantalum capacitors, Yageo believes its AI mix increased q/q slightly in 1Q, from ~30% in the previous quarter.

BB ratio: The company continues to say its overall BB ratio remains above 1.0x, with AI products' BB ratio being significantly higher than 1.0x, but no numerical guidance was provided this time (it was guided to be 1.2-1.3x last quarter). However, management did mention the order backlog is at a record high now.

1Q/2Q UTRs:

- 70-72%/~75% for commodity products, 80-82%/~85% for premium products.

Price hikes:

- For Tantalum capacitors, the risk of increasing costs persists, so Yageo does not rule out the possibility of further price hikes. Management also believes the impact of prices hikes has not been fully reflected in its financials.
- For MLCC, Yageo officially confirmed it has made pricing adjustments to some of its MLCC products, which primarily belong to the consumer and automotive segments, which carry more imbalanced 'price/cost structures'.

Still no major capacity expansion plan in CY26:

- With premium UTR expected to reach 85% in 2Q, management said they are discussing capacity expansions but did not provide clear guidance on how much and when they intend to add capacity.
- On the 4Q25 earnings call, management mentioned it will only consider expanding new capacity if overall UTR hits 90%+.

Inventory/restocking:

- Yageo believes its distributors have seen robust revenue growth, which drove them to proactively restock to avoid any potential shortages of passive components.
- For MLCC particularly, compared to previous cycles, Yageo believes its customers have been more collaborative in terms of pricing negotiation; customers understand Yageo's cost pressures and are willing to pay more for more stable supply.
- However, Yageo has not perceived any panic-buying or double-booking so far; it believes its customers have been disciplined in making purchasing commitments.

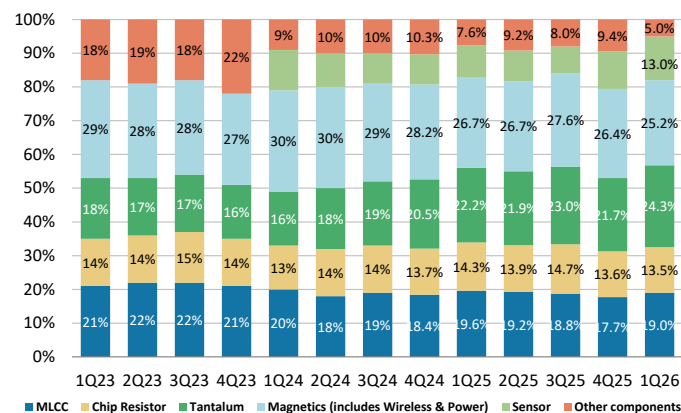
- 1Q inventory days down to ~115 days (vs. ~121 days in 4Q).

Tantalum

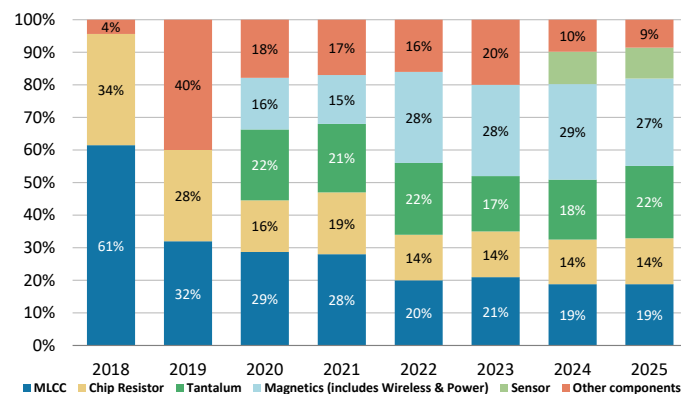
- Relatively higher revenue exposure to EMS because the assembly work for hyperscalers and Tier 1 customers are done by EMS companies.
- Utilization rate for Tantalum is slightly higher than its "premium" average utilization rate.

Please click [here](#) for the webcast replay.

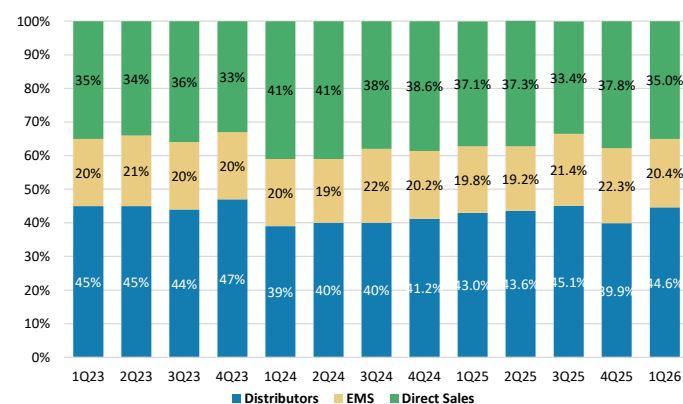
Charts

Exhibit 1: Quarterly Sales, by Product, 1Q23-1Q26


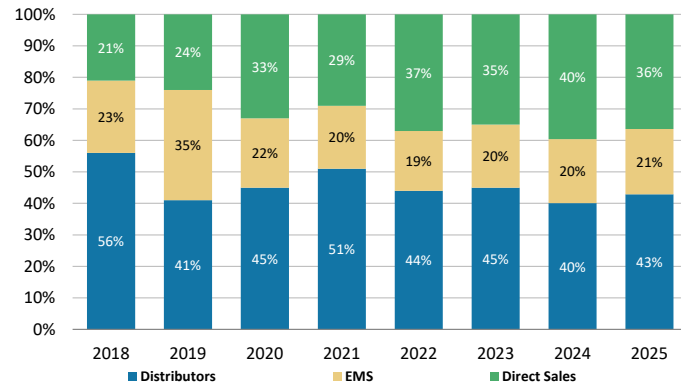
Source: Company data, Morgan Stanley Research

Exhibit 2: Annual Sales, by Product, 2018-25


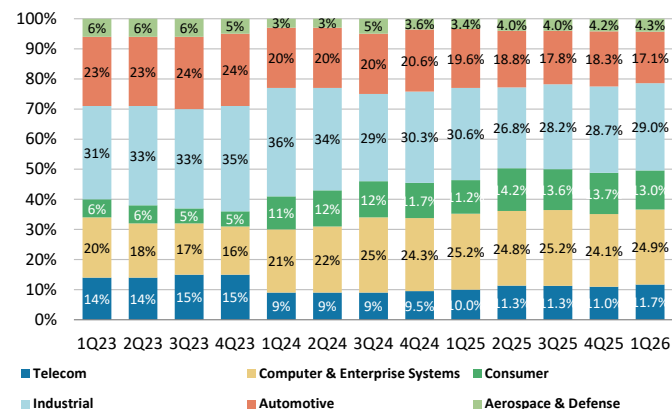
Source: Company data, Morgan Stanley Research

Exhibit 3: Quarterly Sales, by Channel, 1Q23-1Q26


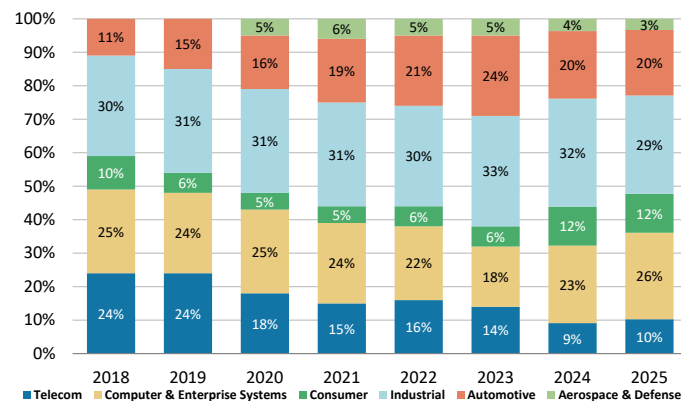
Source: Company data, Morgan Stanley Research

Exhibit 4: Annual Sales, by Channel, 2018-25


Source: Company data, Morgan Stanley Research

Exhibit 5: Quarterly Sales, by Segment, 1Q23-1Q26


Source: Company data, Morgan Stanley Research

Exhibit 6: Annual Sales, by Segment, 2018-25


Source: Company data, Morgan Stanley Research

1Q26 Results Review

Gross margin was 38.1% (+80bps q/q, +250bps y/y), above our forecast of 38.0% and the Street's 37.7%. This could be attributed mainly to better AI demand, higher UTRs and price hikes. Operating margin was 25.2% (+90bps q/q, +440bps y/y), slightly below our estimate of 25.4% but higher than the Street's 24.6%, thanks to good opex control. Non-operating income came in slightly higher than our estimate and the Street, and thus net profit came in at ~NT\$8,001mn (+19% q/q, +45% y/y), 2% and 4% above MSe and the Street, for EPS of NT\$3.90.

Exhibit 7: 1Q26 Results

NT\$m	Results					
	Actual	QoQ	YoY	MS Est.	Variance	Cons
Net sales	38,165	6%	23%	38,165	0%	37,984
COGS	-23,623	5%	18%	-23,667	0%	-23,658
Gross profit	14,542	8%	31%	14,498	0%	14,326
Operating expenses	-4,929	5%	7%	-4,802	3%	-4,985
Operating income	9,613	10%	49%	9,696	-1%	9,342
Non-operating income	712	NM	0%	559	27%	618
Pre-tax income	10,325	19%	44%	10,255	1%	9,960
Income tax	-2,264	19%	41%	-2,359	-4%	-2,300
Net income	8,001	19%	45%	7,836	2%	7,660
EPS (NT\$)	3.90	19%	45%	3.82	2%	3.73
Margins (%)		ppt	ppt		ppt	
Gross margin	38.1%	0.8	2.5	38.0%	0.1	37.7%
Operating margin	25.2%	0.9	4.4	25.4%	-0.2	24.6%
Pre-tax margin	27.1%	2.8	4.0	26.9%	0.2	26.2%
Net margin	21.0%	2.2	3.2	20.5%	0.4	20.2%

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

Estimate Changes

We update our model to reflect the 1Q26 results and the latest guidance from management post the earnings call. Our 2026-28 EPS estimates increase by 3%, 6% and 9%, respectively, driven by both higher revenues and margins assumptions.

Exhibit 8: Estimate Changes

NT\$ mn	2026e Earnings Estimates			2027e Earnings Estimates			2028e Earnings Estimates		
	New	Old	Variance	New	Old	Variance	New	Old	Variance
Net sales	158,893	155,443	2%	170,289	162,707	5%	177,514	165,555	7%
COGS	-97,007	-95,017	2%	-101,670	-97,437	4%	-104,131	-97,668	7%
Gross profit	61,886	60,426	2%	68,619	65,270	5%	73,383	67,887	8%
Operating expenses	-20,078	-19,186	5%	-20,619	-19,432	6%	-21,190	-19,727	7%
Operating income	41,808	41,239	1%	48,000	45,838	5%	52,193	48,161	8%
Non-operating income	2,851	2,435	17%	3,314	2,964	12%	3,751	3,401	10%
Pre-tax income	44,659	43,675	2%	51,314	48,802	5%	55,944	51,562	8%
Income tax	-10,258	-10,147	1%	-11,791	-11,331	4%	-12,854	-11,973	7%
Net income	34,161	33,288	3%	39,282	37,231	6%	42,850	39,349	9%
EPS (NT\$)	16.64	16.21	3%	19.13	18.13	6%	20.87	19.16	9%
Margins (%)			ppt			ppt			ppt
Gross margin	38.9%	38.9%	0.1	40.3%	39.5%	0.7	41.3%	41.0%	0.3
Operating margin	26.3%	26.5%	-0.2	28.2%	27.0%	1.2	29.4%	29.1%	0.3
Pre-tax margin	28.1%	28.1%	0.0	30.1%	29.0%	1.2	31.5%	31.1%	0.4
Net margin	21.5%	21.4%	0.1	23.1%	22.2%	0.9	24.1%	23.8%	0.4

Source: Morgan Stanley Research (e) estimates.

Exhibit 9: MSe vs. Consensus

Yageo	MSe			Consensus			Variance		
	2026	2027	2028	2026	2027	2028	2026	2027	2028
Revenue	158,893	170,289	177,514	164,307	183,900	203,694	-3%	-7%	-13%
GM	38.9%	40.3%	41.3%	38.4%	39.5%	41.2%	0.6%	0.8%	0.2%
OpM	26.3%	28.2%	29.4%	25.4%	26.7%	28.7%	0.9%	1.5%	0.7%
Net income	34,161	39,282	42,850	34,045	39,729	46,697	0%	-1%	-8%
EPS	16.64	19.13	20.87	16.58	19.35	22.74	0%	-1%	-8%

Source: Visible Alpha, Morgan Stanley Research estimates.

Price Target Discussion and Valuation Methodology

We raise our 12-month price target to NT\$360 (from NT\$330) on the back of our higher earnings estimates: This is our base-case value, derived from our residual income valuation model. Similar to our analysis of other tech hardware companies within our coverage, we think this methodology provides the most accurate value of the firm by taking into account the cost of equity.

Our key assumptions (all unchanged) are all similar to the other companies in our coverage:

- Cost of equity of 7.8%;
- Risk-free rate of 1.0% (10-year Taiwan government bond yield);
- Equity risk premium of 6.8%;
- Beta of 1.1;
- Medium-term growth rate of 10%;
- Terminal growth rate of 3%.

Our price target implies 21.6x 2026e P/E and 18.8x 2027e P/E. These are above its five-year historical range of 8x to 18x, which we view as justified considering its longer-term transformation story to become a global total solutions provider, moving from passive into active components. In addition, compared to its global passive component peers, we believe Yageo stock remains undervalued with higher ROE and margins, but lower P/E vs. Japanese peers (which trade on an average at 25x+ P/E).

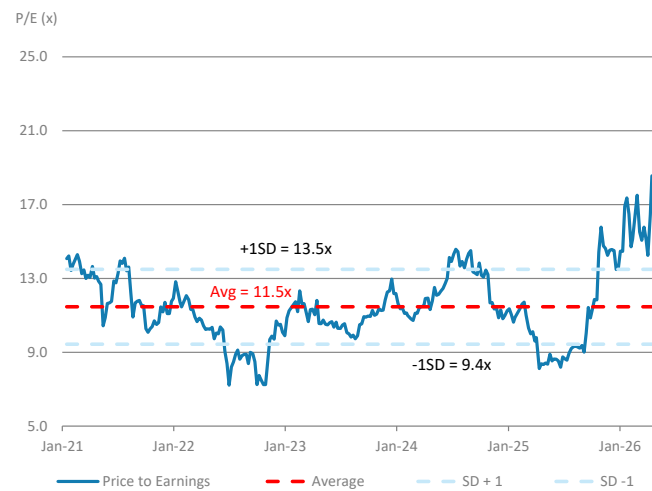
Our bull- and bear-case scenario values increase by similar magnitudes to the change to our base-case value, to NT\$545 and NT\$180, respectively.

Exhibit 10: Residual Income (RI) Model

	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	210,427	228,622	247,282	286,533	329,708	377,201	429,444	486,910	550,123	619,658	690,301
Net Profit	34,161	39,282	42,850	47,135	51,848	57,033	62,736	69,010	75,911	83,502	86,007
Return on Equity	17.8%	17.9%	18.0%	17.7%	16.8%	16.1%	15.6%	15.1%	14.6%	14.3%	13.1%
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%
Residual Income	17,422	21,325	23,429	24,480	25,981	27,616	29,402	31,357	33,500	35,849	33,284
Spread	10.0%	10.1%	10.2%	9.9%	9.1%	8.4%	7.8%	7.3%	6.9%	6.5%	5.4%
Beginning Equity Capital	210,427										
PV of Forecast Period	187,646										
PV of Continuing Value	341,103										
Equity Value	739,175										
No. of Shares	2,053										
Projected Price	360.0										
Implied 2026 PE	21.6x										

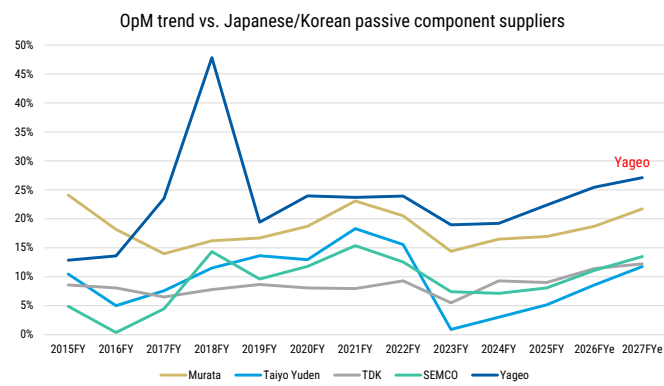
Source: Morgan Stanley Research (E) estimates.

Exhibit 11: Yageo P/E



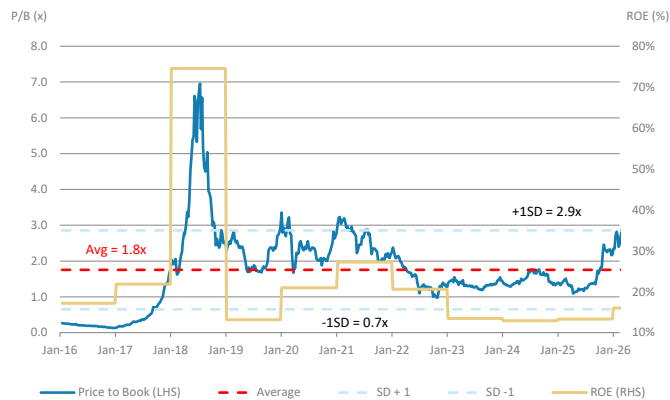
Source: TEJ, Morgan Stanley Research.

Exhibit 13: MLCC peers operating margins



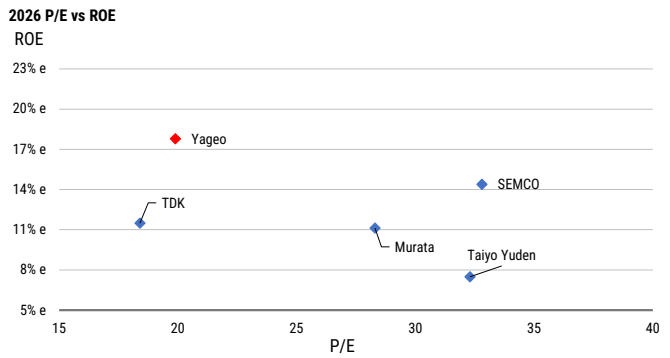
Source: Visible Alpha.

Exhibit 12: Yageo P/B



Source: TEJ, Morgan Stanley Research.

Exhibit 14: 2026e P/E vs. ROE



Source: Morgan Stanley Research estimates.

Risk Reward – Yageo Corp. (2327.TW)

Transformation Initiatives Ongoing; OW

PRICE TARGET NT\$360.00

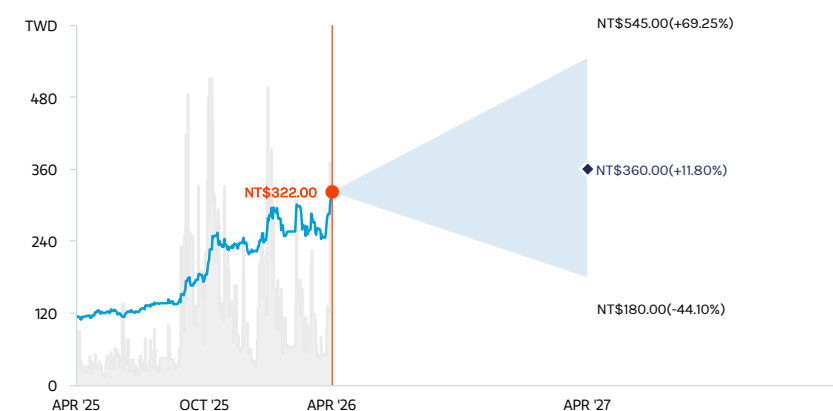
Base-case, multistage residual income valuation model. Key assumptions: cost of equity 7.8% (risk-free rate 1%, equity risk premium 6.8% and beta of 1.1), medium-term growth rate 10%, terminal growth rate 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



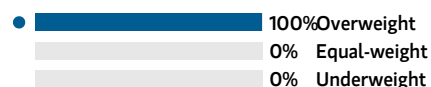
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Yageo remains active in its transformation initiatives, fulfilling management's focus on broadening its product portfolio by becoming a total solution provider.
- Premium products have increased to 70%+ of the total company mix (up from 30% before 2018).
- The utilization rate continues to improve, especially for standard products, which should help overall margins.
- We expect further sales and cost synergies to be seen in the coming years.
- Yageo has also confirmed price hikes for some of its MLCC products.
- All of this should help support the stock to re-rate to 22x 2026e P/E (19x 2027e P/E), above its five-year historical trading range.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*
Self-help: *Positive*
Special Situation: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$545.00

28.7x 2026e EPS

Demand grows faster than expected with earnings showing significant re-acceleration:

1) Demand improves significantly, driving pricing power to Yageo for premium and standard products alike. 2) Yageo makes meaningful progress into AI, driving significant share gains. 3) Yageo takes on more acquisition initiatives to further widen its product portfolio. 4) Yageo discloses AI revenue breakdown, making it easier for investors to track its AI progress.

BASE CASE

NT\$360.00

21.6x 2026e EPS

Stable demand growth into 2026:

1) Utilization remains high for premium products. 2) Utilization improves for standard products as consumer tech demand remains resilient. 3) Transformation and synergies are ongoing with continued active initiatives. 4) Yageo continues to drive expansion into the AI realm and slowly gains market share.

BEAR CASE

NT\$180.00

9.5x 2026e EPS

Earnings deteriorate further as macro conditions weaken and demand falls off again:

1) Non-AI demand starts to weaken into 2026, despite AI demand remaining strong. 2) Pricing power shifts to end customers with heightened competition amongst peers. 3) Acquisitions do not bear fruit, resulting in layoffs and leading to cost burdens. 4) Automotive and industrial demand deteriorates further, hampering Yageo's premium business. 5) Yageo does not make any material advancements into AI.

Risk Reward – Yageo Corp. (2327.TW)

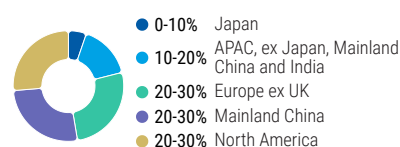
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
MLCC ASP y/y (%)	0.6	3.5	1.3	0.0
MLCC GM (%)	31.7	31.8	32.7	33.9
r-chip ASP y/y (%)	0.8	5.3	1.5	(0.0)
r-chip GM (%)	43.4	43.4	44.3	45.0

INVESTMENT DRIVERS

- Transformation into global total solutions service provider
- Premium/standard sales mix
- Utilization rates and capacity
- Inventory and pricing

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected revenue/profit recognition from stronger AI server/notebook demand
- Further price hikes led by stronger pricing power arising from better demand and/or tighter supply

RISKS TO DOWNSIDE

- Slower-than-expected end-demand recovery
- Escalating US/China trade tensions
- Weaker automotive and industrial demand

OWNERSHIP POSITIONING

Inst. Owners, % Active 61.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (NT\$, mn) 162,707 170,289 219,469
183,047

EBITDA (NT\$, mn) 51,356 57,175 72,329
60,979

Net income (NT\$, mn) 32,890 39,282 48,685
39,889

EPS (NT\$) 16.10 19.13 23.72
19.41

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 15: Quarterly Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26P	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Net sales	31,104	32,771	33,087	35,968	38,165	40,003	40,706	40,018	132,930	158,893	170,289	177,514
COGS	(20,018)	(21,119)	(21,112)	(22,551)	(23,623)	(24,494)	(24,709)	(24,180)	(84,800)	(97,007)	(101,670)	(104,131)
Gross profit	11,086	11,652	11,974	13,417	14,542	15,509	15,997	15,838	48,130	61,886	68,619	73,383
Operating expenses	(4,623)	(4,609)	(4,412)	(4,685)	(4,929)	(5,068)	(5,023)	(5,058)	(18,329)	(20,078)	(20,619)	(21,190)
SG&A	(3,758)	(3,774)	(3,578)	(3,800)	(3,898)	(3,996)	(3,941)	(3,965)	(14,910)	(15,800)	(16,022)	(16,175)
R&D	(865)	(834)	(834)	(886)	(1,031)	(1,072)	(1,083)	(1,093)	(3,419)	(4,279)	(4,597)	(5,015)
Operating income	6,463	7,044	7,562	8,732	9,613	10,442	10,973	10,780	29,801	41,808	48,000	52,193
Non-operating income	710	(15)	650	(26)	712	668	716	755	1,319	2,851	3,314	3,751
Interest income	533	443	379	216	303	339	374	407	1,571	1,423	1,923	2,331
Investment income	117	24	144	195	143	129	142	149	480	562	590	620
Disposal of investment	100	0	0	0	0	0	0	0	100	0	0	0
Exchange gain	(148)	194	(110)	(677)	185	0	0	0	(742)	185	0	0
Other	108	(676)	237	241	81	200	200	200	(90)	681	800	800
Pre-tax income	7,173	7,028	8,212	8,706	10,325	11,110	11,689	11,535	31,120	44,659	51,314	55,944
Income tax	(1,610)	(2,016)	(1,817)	(1,900)	(2,264)	(3,000)	(2,572)	(2,422)	(7,343)	(10,258)	(11,791)	(12,854)
Minority interest	33	14	39	56	60	60	60	60	143	240	240	240
Net income	5,530	4,998	6,356	6,751	8,001	8,050	9,057	9,053	23,637	34,161	39,282	42,850
Adj. wtd. avg. shrs (mn)	2,053	2,053	2,054	2,053	2,053	2,053	2,053	2,053	2,053	2,053	2,053	2,053
EPS	2.69	2.43	3.10	3.29	3.90	3.92	4.41	4.41	11.51	16.64	19.13	20.87
Fully Diluted shares (mn)	2,459	2,456	2,055	2,053	2,053	2,053	2,053	2,053	2,053	2,053	2,053	2,053
Diluted EPS (NT\$)	2.25	2.03	3.09	3.29	3.90	3.92	4.41	4.41	11.51	16.64	19.13	20.87
Margins (%)												
Gross Margin	35.6	35.6	36.2	37.3	38.1	38.8	39.3	39.6	36.2	38.9	40.3	41.3
Operating Margin	20.8	21.5	22.9	24.3	25.2	26.1	27.0	26.9	22.4	26.3	28.2	29.4
Pretax Margin	23.1	21.4	24.8	24.2	27.1	27.8	28.7	28.8	23.4	28.1	30.1	31.5
Net Margin	17.8	15.3	19.2	18.8	21.0	20.1	22.3	22.6	17.8	21.5	23.1	24.1
QoQ Growth (%)												
Sales	4	5	1	9	6	5	2	-2				
Gross Profit	11	5	3	12	8	7	3	-1				
Operating Profit	20	9	7	15	10	9	5	-2				
Pretax Profit	15	-2	17	6	19	8	5	-1				
Net Profit	49	-10	27	6	19	1	13	0				
YoY Growth (%)												
Sales	9	4	4	20	23	22	23	11	9	20	7	4
Gross Profit	15	6	7	35	31	33	34	18	15	29	11	7
Operating Profit	31	9	14	63	49	48	45	23	27	40	15	9
Pretax Profit	18	-5	15	39	44	58	42	32	16	44	15	9
Net Profit	21	-8	13	82	45	61	42	34	22	45	15	9

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 16: Consolidated Financial Summary

Consolidated Income Statement					Consolidated Cash Flow Statement				
NT\$mnn (Year End Dec 31)	2025	2026E	2027E	2028E	NT\$mnn (Year End Dec 31)	2025	2026E	2027E	2028E
Net sales	132,930	158,893	170,289	177,514	Operating Cashflow	30,863	42,173	46,884	49,058
COGS	(84,800)	(97,007)	(101,670)	(104,131)	Net Profits	23,637	34,161	39,282	42,850
Gross profit	48,130	61,886	68,619	73,383	Depreciation & Amort.	9,834	9,469	9,175	8,918
Operating expenses	(18,329)	(20,078)	(20,619)	(21,190)	Investment losses/(income)	(581)	(562)	(590)	(620)
Operating income	29,801	41,808	48,000	52,193	Working capital change	(12,663)	631	(313)	(1,665)
Non-operating income	1,319	2,851	3,314	3,751	Other adjustments	10,941	(1,526)	(670)	(425)
Interest income	1,571	1,423	1,923	2,331	Investing Cashflow	(3,725)	(7,440)	(7,400)	(7,375)
Investment income	480	562	590	620	Capex	(6,056)	(8,000)	(8,000)	(8,000)
Disposal of investment	100	-	-	-	Change of L/T investment	(4,146)	0	0	0
Exchange gain	(742)	185	-	-	Change of S/T investment	817	0	0	0
Other	(90)	681	800	800	Other adjustments	5,191	0	0	0
Pre-tax income	31,120	44,659	51,314	55,944	Financing Cashflow	(3,135)	6,533	(19,514)	(23,313)
Income tax	(7,343)	(10,258)	(11,791)	(12,854)	Increase in L/T debt	(543)	(1,000)	(1,000)	(1,000)
Minority interests	143	240	240	240	Increase in S/T debt	7,613	0	0	0
Net income	23,634	34,161	39,282	42,850	Issuance of stock	0	15,337	0	0
Adj. wtd. Avg. shrs (m)	2,053	2,053	2,053	2,053	Cash dividends	(10,265)	(12,320)	(20,497)	(23,569)
Reported EPS (NT\$)	11.51	16.64	19.13	20.87	Other adjustments	61	4,516	1,983	1,257
Diluted shrs (m)	2,053	2,053	2,053	2,053	FX adjustment	(3,647)	(185)	0	0
Diluted EPS (NT\$)	11.51	16.64	19.13	20.87	Net change in cash	20,356	41,081	19,970	18,371

Consolidated Balance Sheet					Consolidated Financial Ratios				
NT\$mnn (Year End Dec 31)	2025	2026E	2027E	2028E		2025	2026E	2027E	2028E
Cash	81,473	122,554	142,524	160,895	Margins (%)				
Mkt securities	16,634	16,634	16,634	16,634	Gross margin	36.2	38.9	40.3	41.3
AR/NR	27,792	29,656	31,502	34,583	Operating margin	22.4	26.3	28.2	29.4
Inventory	31,636	36,321	37,530	37,562	Pretax margin	23.4	28.1	30.1	31.5
Others	7,811	9,336	10,006	10,431	Net margin	17.8	21.5	23.1	24.1
Current Assets	165,346	214,502	238,197	260,105	YoY growth (%)				
Long-term investments	45,572	45,572	45,572	45,572	Sales	9.3	19.5	7.2	4.2
Fixed assets	65,305	63,276	61,501	59,958	Operating profits	27.4	40.3	14.8	8.7
Other assets	114,566	114,566	114,566	114,566	Pretax profits	15.8	43.5	14.9	9.0
Total Assets	390,789	437,916	459,837	480,202	Net profits	22.1	44.5	15.0	9.1
S/T borrowings	86,196	86,196	86,196	86,196	Others				
AP/NP	18,031	20,627	21,618	22,142	Cash dividend payout (%)	52%	60%	60%	60%
Other ST liabilities	31,852	36,436	38,188	39,112	Cash div (NT\$)	6.00	9.98	11.48	12.52
Total Current Liabilities	136,079	143,260	146,003	147,450	Yield (%)	2%	3%	4%	4%
L/T debt	57,589	56,589	55,589	54,589	Net Debt/Equity (%)	26%	2%	-8%	-15%
Other LT liabilities	23,124	27,641	29,623	30,880	Liabilities/Equity (%)	125%	108%	101%	94%
Total Liabilities	216,793	227,489	231,215	232,919	Liabilities/Assets (%)	55%	52%	50%	49%
Common shares	5,182	20,519	20,519	20,519	ROAE (%)	14%	18%	18%	18%
Retained Earnings	104,669	125,762	143,958	162,618	ROAA (%)	6%	8%	9%	9%
Other SH' Equity	64,145	64,145	64,145	64,145	AR/NR Turnover (days)	68	66	66	68
Total Shareholders' Equity	173,997	210,427	228,622	247,282	Inventory Turnover (days)	128	128	133	132
Total Liab./SH's Equity	390,789	437,916	459,837	480,202	AP/NP Turnover (days)	71	73	76	77
					Cash conversion cycle	125	121	122	123

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of March 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
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Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Yageo Corp. (2327.TW) - As of 04/15/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 4/1/21 : 0/I; 5/12/21 : E/I; 1/4/22 : 0/I; 2/5/25 : NA/I; 10/28/25 : 0/I

Price Target History: 3/11/21 : 238.72; 4/22/21 : 245; 5/12/21 : 166.47; 6/7/21 : 169.61; 7/7/21 : 172.76; 7/27/21 : 182.18; 10/19/21 : 141.35; 1/4/22 : 188.46; 6/23/22 : 155.48; 8/12/22 : 144.49; 10/28/22 : 116.25; 11/10/22 : 123.75; 1/9/23 : 157.5; 4/12/23 : 158.75; 7/17/23 : 152.5; 7/26/23 : 151.25; 10/18/23 : 150; 11/23/23 : 160; 1/9/24 : 153.75; 3/1/24 : 146.25; 4/11/24 : 177.5; 7/23/24 : 178; 7/30/24 : 181.25; 8/15/24 : 151.75; 9/12/24 : 196.25; 10/21/24 : 193.75; 10/29/24 : 188.75; 2/5/25 : NA; 10/28/25 : 290; 10/31/25 : 293; 2/23/26 : 305; 2/26/26 : 325; 4/9/26 : 330

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/15/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$36.04
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb106.70
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$28.00
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb9.56
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb18.86
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb496.98
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$509.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.29
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.20
Largan Precision (3008.TW)	E (10/17/2025)	NT\$2,820.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb9.05
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb9.35
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$8.30
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb76.74
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$47.08
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb52.16
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$62.00
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb330.66
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb31.12
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$30.90
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb358.61
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$205.60
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb109.03
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb29.03
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb779.98
ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$23.96

ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb35.21
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,970.00
Advantech (2395.TW)	O (01/20/2021)	NT\$348.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,185.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$20.05
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,350.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.00
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK\$4.30
Chenbro (8210.TW)	O (07/23/2025)	NT\$992.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,020.00
E Ink Holdings Inc. (8069.TWO)	E (01/07/2026)	NT\$150.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$69.10
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$282.00
Innolux (3481.TW)	E (04/07/2025)	NT\$27.60
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$3,440.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.59
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$89.70
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb12.14
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.35
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb8.25
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb130.32
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$27.50
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$584.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$29.45
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$7.50
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$279.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,165.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb68.88
Lenovo (0992.HK)	E (11/16/2025)	HK\$10.58
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,375.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$656.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$78.80
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$308.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb66.90
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb270.93
Unimicron (3037.TW)	O (02/23/2026)	NT\$618.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$133.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$3,720.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$322.00
Zhen Ding (4958.TW)	E (08/02/2022)	NT\$251.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,325.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$972.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$200.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,785.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,825.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb57.82
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$51.90
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb24.10
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$207.50
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,315.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb13.58
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$159.00

Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb58.78
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$141.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$183.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$275.00

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